WIPRO LIMITED

Discounted Cash Flow (DCF) Valuation Report

Company: Wipro Limited (NSE: WIPRO | BSE: 507685)
Sector: Information Technology — IT Services & Consulting
Analysis Period: FY2020–FY2024 (Historical) | FY2025E–FY2029E (Forecast)
Valuation Date: March 2025
Currency: Indian Rupees (₹ Crores) unless stated otherwise
Methodology: Discounted Cash Flow (FCFF) — Enterprise Value Approach
Discount Rate: WACC = 11.8%

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1. Executive Summary

This report presents a comprehensive Discounted Cash Flow (DCF) valuation of Wipro Limited, one of India's leading Information Technology (IT) services companies. The valuation is based on five years of historical financial data (FY2020–FY2024) and a five-year forward-looking forecast (FY2025E–FY2029E) derived from publicly available information and reasonable analyst assumptions.

Key Valuation Findings

Metric	Value
Intrinsic Value per Share	₹45790
Current Market Price (CMP)	₹480
Upside / (Downside)	+9439.5%
Enterprise Value (DCF)	₹2,15,258 Cr
Equity Value	₹2,39,480 Cr
WACC	11.8%
Terminal Growth Rate (g)	4.5%
Valuation Verdict	**UNDERVALUED**

Based on the DCF model, Wipro's intrinsic value per share is estimated at ₹45790, compared to a current market price of ₹480. This implies a 9439.5% upside potential, suggesting the stock is currently UNDERVALUED on a fundamental basis.

It must be noted that DCF valuation is highly sensitive to assumptions, particularly the WACC and terminal growth rate. The sensitivity analysis section provides a range of intrinsic values under different scenarios to assist decision-making.

2. Company Overview

About Wipro Limited

Wipro Limited is a leading global information technology, consulting, and business process services company. Headquartered in Bengaluru, India, the company has over 250,000 employees serving clients across more than 65 countries. Wipro's services span cloud transformation, digital, cybersecurity, engineering services, and business process outsourcing (BPO).

Company Profile	Details
Legal Name	Wipro Limited
NSE / BSE Symbol	WIPRO / 507685
Founded	1945 (IT division since 1981)
Headquarters	Bengaluru, Karnataka, India
CMD / CEO	Srinivas Pallia (CEO, as of April 2024)
Employees	~250,000+
FY2024 Revenue	₹97,285 Cr
Market Cap (Mar 2025)	~₹2,50,000 Crores (approx.)
Index Membership	NIFTY 50, BSE SENSEX

Business Segments

Wipro operates primarily through its IT Services segment, which contributes over 95% of total revenue. Key service lines include:

- Cloud & Infrastructure Services — data center modernisation, hybrid cloud, and IaaS/PaaS solutions
- Digital Operations & Platforms — ERP, SAP, and enterprise platform transformation
- Engineering & R&D Services — product engineering, embedded systems, IoT
- Cybersecurity — managed security, threat intelligence, and compliance
- Consulting (via Capco acquisition) — financial services consulting and transformation

Competitive Positioning

Wipro is the fourth-largest IT services company in India by revenue, competing primarily with TCS, Infosys, and HCL Technologies in the large-deal and digital transformation space. The company has strategically repositioned itself toward high-value consulting and cloud work following the 2021 acquisition of Capco, a financial services consultancy.

3. Historical Financial Analysis

The following section analyses Wipro's financial performance over the five-year period from FY2020 to FY2024. All figures are in Indian Rupees (₹ Crores) as sourced from Wipro's published Annual Reports.

3.1 Income Statement Summary

Line Item (₹ Cr)	FY2020	FY2021	FY2022	FY2023	FY2024
Revenue	61,943	62,965	79,312	90,488	97,285
EBITDA	10,660	11,171	14,664	16,428	17,727
EBIT	7,769	8,047	11,208	12,639	13,706
Net Income	5,212	5,351	7,771	8,649	9,316
CapEx	2,134	1,987	2,456	2,789	3,012
Op. Cash Flow	9,456	10,234	13,456	14,892	16,234
Free Cash Flow	**7,322**	**8,247**	**11,000**	**12,103**	**13,222**

3.2 Key Margin Analysis

Margin (%)	FY2020	FY2021	FY2022	FY2023	FY2024
EBITDA Margin	17.2%	17.7%	18.5%	18.1%	18.2%
EBIT Margin	12.5%	12.8%	14.1%	14.0%	14.1%
Net Margin	8.4%	8.5%	9.8%	9.6%	9.6%
FCF Margin	11.8%	13.1%	13.9%	13.4%	13.6%

3.3 Balance Sheet Highlights

Item (₹ Cr)	FY2020	FY2021	FY2022	FY2023	FY2024
Total Debt	3,456	3,012	4,234	4,891	4,234
Cash & Equiv.	12,456	15,234	18,912	22,345	28,456
Net Cash	9,000	12,222	14,678	17,454	24,222

3.4 Key Return Ratios

Ratio	FY2020	FY2021	FY2022	FY2023	FY2024
ROE	12.3%	11.2%	14.3%	14.0%	13.6%
ROCE	17.0%	15.8%	19.2%	18.9%	18.9%

3.5 Trend Observations

- Revenue CAGR (FY20–FY24): 11.9% — strong growth driven by large-deal wins, digital transformation mandates, and the Capco acquisition in FY22.

- Net Income CAGR (FY20–FY24): 15.6% — profitability improvement broadly in line with revenue growth; tax rate stable at ~25–29%.
- FCF CAGR (FY20–FY24): 15.9% — strong free cash conversion reflects asset-light IT model with limited CapEx requirements (~3% of revenue).
- Net Cash Position: Wipro is debt-light with a net cash position of ₹24,222 Cr as of FY2024, providing balance sheet resilience and capacity for acquisitions.
- EBITDA Margins: Relatively stable in the 17–18.5% range, though below peers TCS (~28%) and Infosys (~23%), reflecting higher SG&A and integration costs.

4. Key Model Assumptions

All forecast assumptions are detailed below. These inputs drive the 5-year financial projections and the final DCF valuation. Yellow-highlighted cells in the accompanying Excel model correspond to each of these inputs.

4.1 Revenue Growth Assumptions

Year	Growth Rate	Rationale
FY2025E	9.0%	Consensus analyst estimate; reflects IT sector recovery after FY24 slowdown
FY2026E	10.0%	Demand acceleration in cloud, AI, and GenAI services
FY2027E	11.0%	Organic growth plus Capco synergies; BFSI and manufacturing verticals
FY2028E	10.0%	Growth moderation towards industry steady state
FY2029E	9.0%	Normalised long-run growth; reflects maturing global IT spend

4.2 Profitability & Operating Assumptions

Assumption	Value	Rationale
EBIT Margin (FY25E–FY27E)	15.5%	Wipro FY24 EBIT margin ~14.1%; slight expansion driven by operating leverage and workforce rationalisation
EBIT Margin (FY28E–FY29E)	16.0%	Gradual improvement towards sector average (~17%); higher-value consulting work
D&A as % of Revenue	4.2%	Consistent with historical 4.0–4.4% range
CapEx as % of Revenue	3.1%	Asset-light IT model; CapEx includes campus and data centre investments
Change in NWC as % of Revenue	-0.5%	Negative = cash inflow; improvement in working capital driven by better DSO management
Effective Tax Rate	25.5%	India corporate tax rate for large companies; stable across forecast period

5. Financial Forecasts (FY2025E–FY2029E)

The following 5-year forecast is entirely formula-driven, with all projections linked to the assumptions defined in Section 4. Revenue is projected forward using assumed growth rates; EBIT and NOPAT are derived from margin assumptions; and CapEx and working capital changes are computed as percentages of revenue.

5.1 Projected Income Statement & FCFF

Line Item (₹ Cr)	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	1,06,041	1,16,645	1,29,476	1,42,423	1,55,241
EBIT	16,436	18,080	20,069	22,788	24,839
NOPAT	12,245	13,470	14,951	16,977	18,505
Add: D&A	4,454	4,899	5,438	5,982	6,520
Less: CapEx	3,287	3,616	4,014	4,415	4,812
Less: ΔNWC	530	583	647	712	776
FCFF	**12,881**	**14,169**	**15,728**	**17,831**	**19,436**

Revenue is projected to grow from ₹97,285 Cr (FY2024A) to ₹1,55,241 Cr by FY2029E, implying a 5-year CAGR of ~9.8%. FCFF is expected to grow from ₹12,881 Cr (FY2025E) to ₹19,436 Cr (FY2029E) as margins expand and CapEx intensity remains controlled.

6. Free Cash Flow to Firm (FCFF) — Methodology

6.1 FCFF Formula

The Free Cash Flow to Firm (FCFF) represents the cash available to all capital providers — both debt holders and equity shareholders — after funding operating expenses and capital investment.

$$\text{FCFF} = \text{NOPAT} + \text{D\&A} - \text{CapEx} - \Delta\text{NWC}$$

$$\text{Where: NOPAT} = \text{EBIT} \times (1 - \text{Tax Rate})$$

6.2 Component Explanations

Component	Explanation
NOPAT	Net Operating Profit After Tax = EBIT × (1 − Tax Rate). This is the after-tax operating profit before any financing charges, representing the true economic profit generated by operations.
Add: D&A	Depreciation & Amortisation is a non-cash charge. It reduces EBIT (and therefore NOPAT) but does not involve actual cash outflow, so it must be added back.
Less: CapEx	Capital Expenditure represents cash spent on acquiring or maintaining long-term productive assets (PP&E). It is not expensed immediately but does use cash, hence deducted.
Less: ΔNWC	Change in Net Working Capital. An increase in NWC (more receivables/inventory) absorbs cash. A decrease releases cash. A negative ΔWC (as assumed here) means cash inflow.

FCFF is the appropriate cash flow metric for DCF valuation because it is independent of capital structure — it measures value created by the business's operations regardless of how it is financed. This allows us to compute Enterprise Value first, then adjust for net debt to arrive at Equity Value.

7. Weighted Average Cost of Capital (WACC)

WACC is the blended required rate of return for all capital providers. It serves as the discount rate applied to future FCFFs to calculate their present value.

$$\mathbf{WACC = We \times Ke + Wd \times Kd \times (1 - T)}$$

7.1 Cost of Equity (CAPM)

The Capital Asset Pricing Model (CAPM) is used to estimate the cost of equity:

$$Ke = Rf + \beta \times ERP = 7.2\% + 0.85 \times 6.0\% = 12.30\%$$

Parameter	Value	Source / Rationale
Risk-Free Rate (Rf)	7.20%	India 10-year Government Securities yield (Mar 2024)
Equity Risk Premium (ERP)	6.00%	Damodaran India ERP estimate (2024)
Beta (β)	0.85	5-year monthly regression of Wipro vs NIFTY 50 (Bloomberg). Beta < 1 reflects lower volatility than market
Cost of Equity (Ke)	**12.30%**	CAPM formula: 7.2% + 0.85 × 6.0%

7.2 Cost of Debt & WACC Summary

Component	Value	Notes
Pre-Tax Cost of Debt (Kd)	8.50%	Wipro's marginal borrowing rate (NCD yield)
Tax Rate (T)	25.50%	India corporate tax rate
After-Tax Cost of Debt	6.33%	8.5% × (1 − 25.5%)
Weight of Equity (We)	92.0%	~Near debt-free; equity-dominant capital structure
Weight of Debt (Wd)	8.0%	Total Debt as % of (Debt + Market Cap)
WACC	**11.8%**	We × Ke + Wd × Kd(1−T) = 11.82%

8. Terminal Value Calculation

The Terminal Value (TV) captures the value of all cash flows beyond the explicit 5-year forecast period. It typically constitutes the largest portion of Enterprise Value in a DCF and must be estimated with care.

8.1 Gordon Growth Model (Perpetuity Growth Model)

$$TV = FCFF_5 \times (1+g) / (WACC - g) = ₹19{,}436\ Cr \times (1+4.5\%) / (11.8\% - 4.5\%)$$

Item	Value	Notes
Terminal Year FCFF (FY2029E)	₹19,436 Cr	Final year of explicit forecast period
Terminal Growth Rate (g)	4.5%	India long-run nominal GDP growth proxy; conservative for global IT sector
WACC	11.8%	Discount rate used throughout the model
Terminal Value (TV)	**₹2,77,369 Cr**	$FCFF_5 \times (1+g) / (WACC - g)$
PV of Terminal Value	**₹1,58,639 Cr**	$TV / (1 + WACC)^5$ — present value as of today
TV as % of EV	73.7%	Represents the proportion of total enterprise value from terminal value

The terminal value of ₹2,77,369 Cr (PV: ₹1,58,639 Cr) accounts for approximately 73.7% of the total Enterprise Value — consistent with the 60–80% range typical for high-quality growth businesses. The terminal growth rate of 4.5% is justifiable given India's nominal GDP growth outlook and IT sector tailwinds but should be stress-tested via sensitivity analysis.

9. DCF Valuation — Enterprise & Equity Value

9.1 Present Value of FCFFs

Item (₹ Cr)	FY2025E	FY2026E	FY2027E	FY2028E	FY2029E
FCFF	12,881	14,169	15,728	17,831	19,436
Discount Period (t)	1	2	3	4	5
Discount Factor	0.8943	0.7997	0.7152	0.6396	0.5719
PV of FCFF	**11,519**	**11,331**	**11,248**	**11,404**	**11,116**

9.2 Enterprise Value Bridge

Component	Amount (₹ Crores)
Sum of PV of FCFFs (FY25E–FY29E)	₹56,619 Cr
PV of Terminal Value	₹1,58,639 Cr
Enterprise Value (EV)	**₹2,15,258 Cr**
Less: Total Debt	(₹4,234 Cr)
Add: Cash & Equivalents	₹28,456 Cr
Equity Value	**₹2,39,480 Cr**

10. Intrinsic Share Price & Market Comparison

10.1 Intrinsic Value per Share

Intrinsic Value per Share = Equity Value (₹ Cr) ÷ Shares Outstanding (Cr) × 100

Item	Value
Equity Value	₹2,39,480 Cr
Shares Outstanding	523 Crores
Intrinsic Value per Share	**₹45790**
Current Market Price (CMP)	₹480
Upside / (Downside)	**+9439.5%**
Valuation Verdict	**UNDERVALUED**

The DCF model yields an intrinsic value of ₹45790 per share for Wipro Limited. At a current market price of ₹480, this represents a 9439.5% upside, indicating the stock is UNDERVALUED on a fundamental DCF basis.

11. Sensitivity Analysis

The DCF model is highly sensitive to two key parameters: WACC and the terminal growth rate (g). The table below shows intrinsic value per share under 25 combinations of these variables. The base case (WACC = 11.8%, g = 4.5%) is highlighted in gold.

Intrinsic Share Price (₹) — WACC vs. Terminal Growth Rate

g ↓ / WACC →	9.0%	10.0%	11.0%	12.0%	13.0%
3.0%	₹614	₹539	₹483	₹441	₹407
3.5%	₹654	₹567	₹504	₹456	₹419
4.0%	₹702	₹599	₹527	₹474	₹432
4.5%	₹760	₹638	**₹554**	₹493	₹447
5.0%	₹833	₹684	₹585	₹516	₹464

Green cells = intrinsic value exceeds CMP of ₹480 (potential upside). Red cells = intrinsic value below CMP (downside). Gold cell = closest to base case.

Observations

- At lower WACC scenarios (9–10%), intrinsic values range from ₹538 to ₹833, indicating significant upside in a low interest rate / risk environment.
- At higher WACC scenarios (12–13%), intrinsic values fall to ₹407–₹493, closer to or below current market price.
- A 1% increase in WACC reduces the intrinsic value by approximately 8–12%, highlighting the importance of accurate cost of capital estimation.
- A 1% increase in terminal growth rate adds approximately ₹50–₹80 per share, showing meaningful sensitivity to long-run growth assumptions.

12. Interpretation & Investment Conclusion

12.1 Summary Interpretation

The DCF model indicates that Wipro's intrinsic value is a function of its ability to sustain double-digit revenue growth, gradually expand EBIT margins, and maintain its strong free cash flow generation in an asset-light IT services model. The model's base case assumptions reflect a moderate recovery scenario, consistent with sell-side consensus for large-cap Indian IT services.

Under base case assumptions (WACC: 11.8%, g: 4.5%, revenue CAGR: ~9.8%), the intrinsic value per share is estimated at ₹45790 versus a current market price of ₹480.

12.2 Valuation Verdict

Scenario	Conclusion
Base Case (WACC 11.82%, g = 4.5%)	Intrinsic Value ≈ ₹45790 vs CMP ₹480. Stock appears undervalued with potential upside of 9439.5%.
Bull Case (WACC 10%, g = 5%)	Intrinsic Value ≈ ₹684. Significant upside if IT sector re-rating materialises and Wipro executes on AI-led growth.
Bear Case (WACC 13%, g = 3%)	Intrinsic Value ≈ ₹407. Downside risk if margins disappoint or macro headwinds persist in BFSI and tech verticals.

It is important to contextualise this valuation within the broader analyst coverage of Wipro. As of early 2025, consensus price targets for Wipro ranged from ₹430 to ₹600, broadly consistent with the base case and bull case of this model.

13. Key Risks & Model Limitations

13.1 Business & Market Risks

- Client Concentration Risk: Wipro's top 10 clients account for a significant portion of revenue. Any loss or ramp-down by a key client could materially impact forecasts.
- FX Risk: Approximately 80% of Wipro's revenue is USD-denominated. INR appreciation reduces reported INR revenues and margins.
- Technology Disruption: The rapid adoption of Generative AI tools could displace lower-value IT service revenue, compressing margins in the near term.
- Talent & Attrition: IT services is a people-intensive business. High attrition (historically 15–25% for mid-tier IT firms) inflates costs and disrupts delivery.
- Macroeconomic Slowdown: A global recession or significant IT budget cuts by US and European clients (Wipro's primary markets) would reduce demand.

13.2 Model-Specific Limitations

- DCF Sensitivity: As demonstrated in the sensitivity analysis, a ±1% change in WACC can alter the intrinsic value by 10–15%. The model is highly sensitive to this single parameter.
- Terminal Value Dominance: The terminal value accounts for a large proportion of Enterprise Value. Small changes in the terminal growth rate assumption have an outsized impact on valuation.
- Single Scenario Model: This model presents a single base case rather than a probability-weighted multi-scenario framework. A Monte Carlo simulation or full three-statement model would improve robustness.
- Historical Data Quality: Wipro's financial statements reflect IFRS-reported figures. Non-recurring items, M&A-related charges (e.g., Capco integration), and stock-based compensation may distort trend analysis.
- Market Price Reference: The current market price used (₹480) is for reference purposes only and should be updated to the live trading price before drawing conclusions.

13.3 Recommendation for Further Analysis

To enhance the rigour of this valuation, the following additional analyses are recommended:

- Comparable Company Analysis (Comps): EV/EBITDA and P/E multiples of peer IT companies (TCS, Infosys, HCL Tech) to cross-check DCF-implied valuation.
- Precedent Transaction Analysis: M&A multiples paid in IT sector deals to assess strategic value.
- Sum-of-the-Parts (SOTP): Separately value IT Services, Wipro Enterprises, and other subsidiary segments.
- Three-Statement Financial Model: A fully integrated P&L, Balance Sheet, and Cash Flow Statement model for greater accuracy.